

The Looming Recession

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The Looming Recession: Impact of Middle Class Inequalities and Debt

Three years removed from the initial outbreak of covid-19, individuals, government officials, industries and businesses are each eager to return to a sense of normalcy. However, the current economic state of the country could be leading towards a gloomy recession in the near future. When observing the economy and what might spark a crisis, it can be beneficial to accept some of the characteristics present in past economic downturns. A trait from the 2008 financial crash was the overhanging debt of the middle class and poor. A commonality between the 2008 crash and the Great Depression of 1928 was with the top 10% holding a large income share of the economy. A figure from Thomas Piketty and Emmanuel Saez shows the income share of the top 10% a year prior to the Great Depression in 1929 peaking at 48.2% and leading up to the 2008 financial crash, the share of top 10% income share peaked at 45%. Additional data representing the ratio of debt to income marks the debt to income ratio prior to the 2008 financial crisis at 137.93% (The FRED, US B.E.A., US Federal Reserve 2018). Eventually, these debt bubbles burst and led their economies into recessions. The chart up to date (2021), displayed the average United States household owning 145% debt to income ratio, 7% higher than 2008 (Board of Governors of the Federal Reserve System). The high amount of debt and dwindling share of income held by the middle class is a prediction for a financial crisis in the near future.

Income Share of Upper 10%, United States, 1917-2012

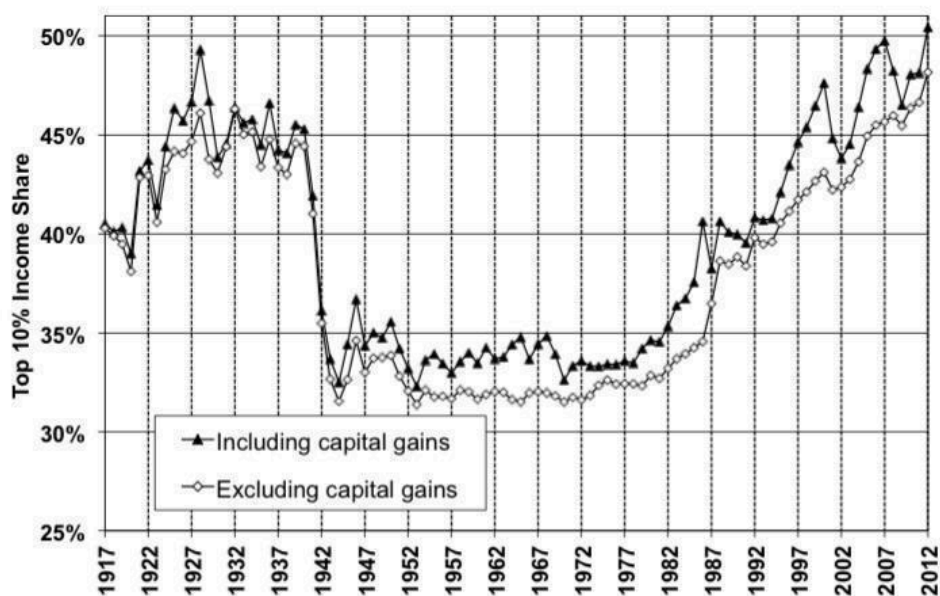
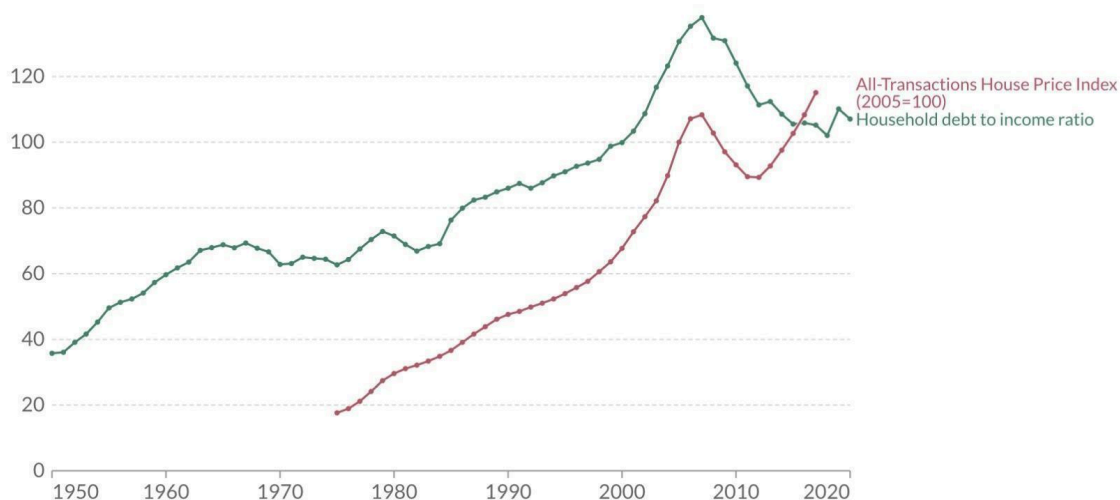


FIGURE 1
The Top Decile Income Share, 1917-2012

- Chart shows the top 10% income claimed approximately 48% and 45% in 2008. (Piketty and Saez 2013).

The Household debt-to-income ratio and household prices, United States, 1950 to 2020



Source: The FRED, US B.E.A., US Federal Reserve (2018)
Note: CC-BY-ND-NC

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- Chart displays the peaks and troughs of the debt to Income ratio over the past 70 years. Source: The FRED, US B.E.A., US Federal Reserve (2018)

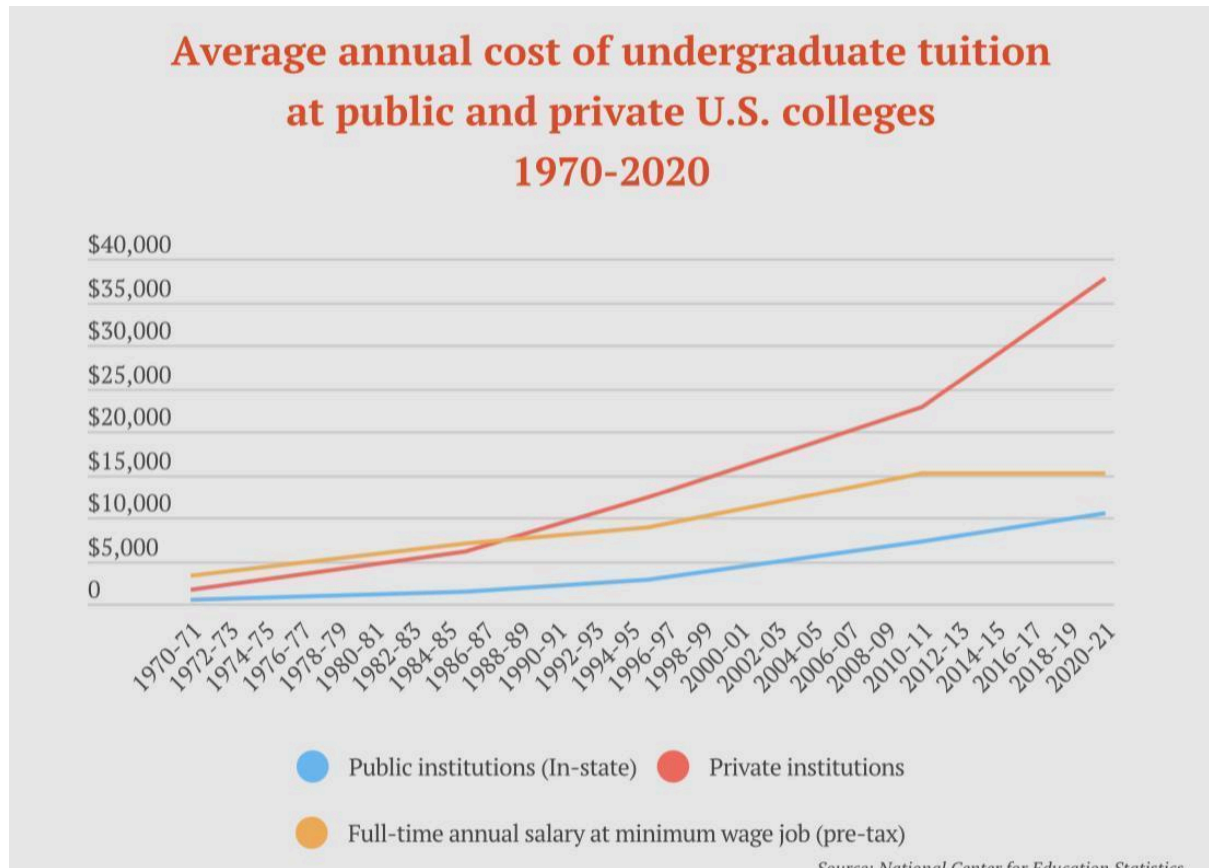
Inequalities of income and high levels of debt are interrelated issues that pose significant challenges for the economy. When the bottom portion of the population has limited purchasing power due to low income, it reduces overall consumer spending and slows down economic growth. In response, people resort to taking on more debt to maintain their standard of living, which can eventually lead to insolvency. The concern for a recession within the next year exists because as history has proven debt bubbles eventually collapse. American economists Carmen M. Reinhart and Kenneth S. Rogoff support the claim on debt overloading: "What turns a manageable problem into a full-blown crisis is often the web of debt that is attached to it. Financial liberalization and innovation, as well as geopolitical and other exogenous factors, have all played a role in fueling crises, but excessive indebtedness is a central element in virtually all of them." (2009, p. 7). Unlike the household debt that was obtained prior to the collapse of 1928 and 2008, the debt situation that the middle class and poor households have themselves in now is not due to over speculative investments; in fact, lower income households do not have any excess cash to be overly risky, every penny is being spent towards making ends meet. A middle-income financial security survey conducted by Primerica reports that in Dec. 2022, 72% of household's income is dropping below their living expenses and in the same report, 74% of middle-income households find it challenging to set money aside for the future (Primerica, 2023).

'Buy Now, Pay Later' layaway programs such as Affirm, Afterpay, and Klarna have surged in usage in recent years. Due to the rising prices in relation to middle class incomes, families are having to put a simple restaurant or grocery purchase on layover. A market report for the 'Buy Now, Pay Later' industry reports an increase from \$2 billion to \$24.2 Billion from 2019 to 2021 by the largest industry lenders in the United States. This trend is horrifying for consumers as it shows how easily debt is being acquired by households with everyday

purchases. Layover alternatives make the overpriced cost of goods seem manageable to consumers. However, as long as the debt to income ratio continues to increase, households will eventually default on these debts and spark the next economic disaster. The middle and lower classes have always been vulnerable to the control of capitalism dictating cost of goods as well as income; when there is an imbalance of high prices and low wages, debt begins to build. Concentration of wealth and income is increasingly skewed towards the top of the economic ladder. This is unfortunate because it means that the median income households have less bargaining power and it becomes more difficult for the middle class to serve its economical purpose of adding stability to the economy. The middle class is a “key contributor to the stability and success of the American economy...it drives consumer spending [and is responsible] for some 70 percent of economic activity” (E. Warren and A. Tyagi). The median American household income is around \$70,000 a year and the middle class spends approximately 50-70% of that back into the economy. To compare, a business owner who makes millions in income each year will not need to spend 50-70% of their total million dollars to meet basic living needs. Instead, they will pocket the excess money that could’ve been circulating back into the economy. This is contrary to the Keynesian economic viewpoint which proposes that individuals should spend more and save less as it leads to more stability.

Inequality is growing as capitalists are raising costs for consumers without an adjustment to wages. A good example of how costs have risen in relation to income, we examine college tuition rates. The National Center for Education Statistics recorded the average in-state tuition for the 2020-21 at \$37,650; the total cost has increased over 2,000% from \$1,706 in 1970. When we compare the increase in tuition over 30 years with the increase in wages, the hourly minimum wage has lacked over that period in relation to the rising tuition; The

National Center for Education Statistics & US Department of Labor reports that over the same period minimum wage rose 350% which is roughly 1/3 of how much higher tuition has become.



Cost of in-state tuition at public universities 1970-2020

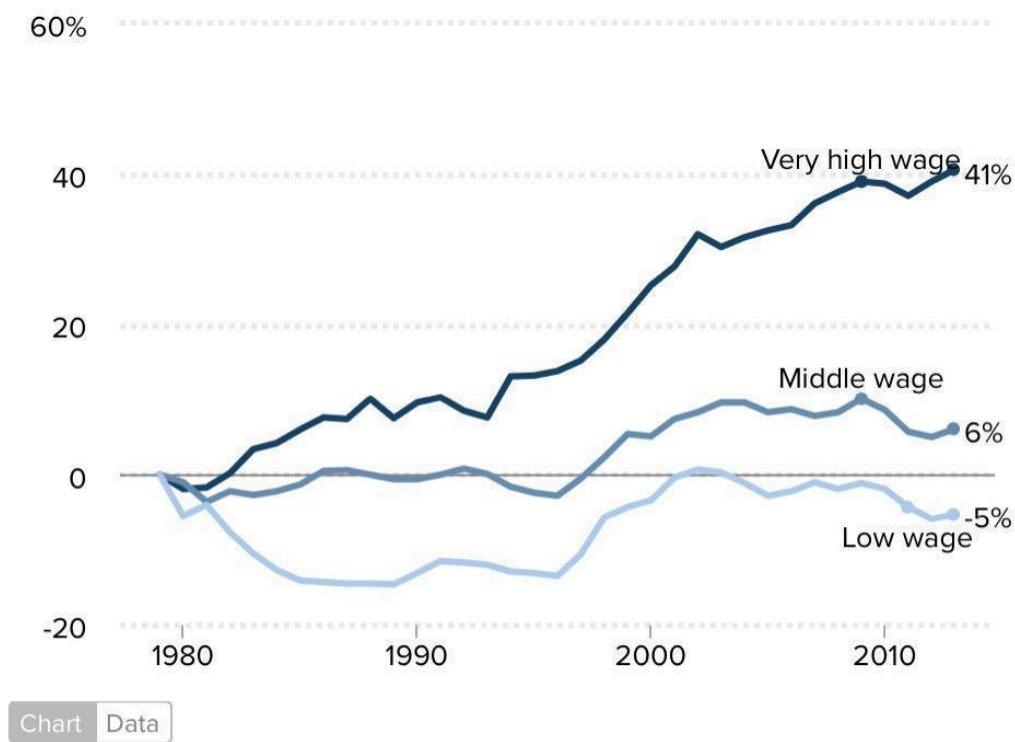
Academic year	Average annual tuition & fees	Federal hourly minimum wage	Total annual work hours required to pay tuition	Hours per week required to pay one year's tuition
1970-71	\$394	\$1.60	246	5
1995-96	\$2,848	\$4.25	670	13
2020-21	\$10,563	\$7.25	1,457	28

Sources: National Center for Education Statistics
U.S. Department of Labor

- Data provided by the National Center for Education showing the increase in tuition from 1970 to 2021 and the increase in the minimum wage as comparison.

Data proves the wages of employees have not kept pace with the rising cost of living. The wages of lower class employees who fall in the middle class category have remained at a fixed number, while the income of CEOs and elites have risen tremendously. Hourly wages of worker's data from 1979-2013, shows that "middle class wage workers' hourly wage is up 6% since 1979, low workers' wages are down 5%, while those with very high wages saw a 41% increase (EPI).

Cumulative change in real hourly wages of workers, by percentile

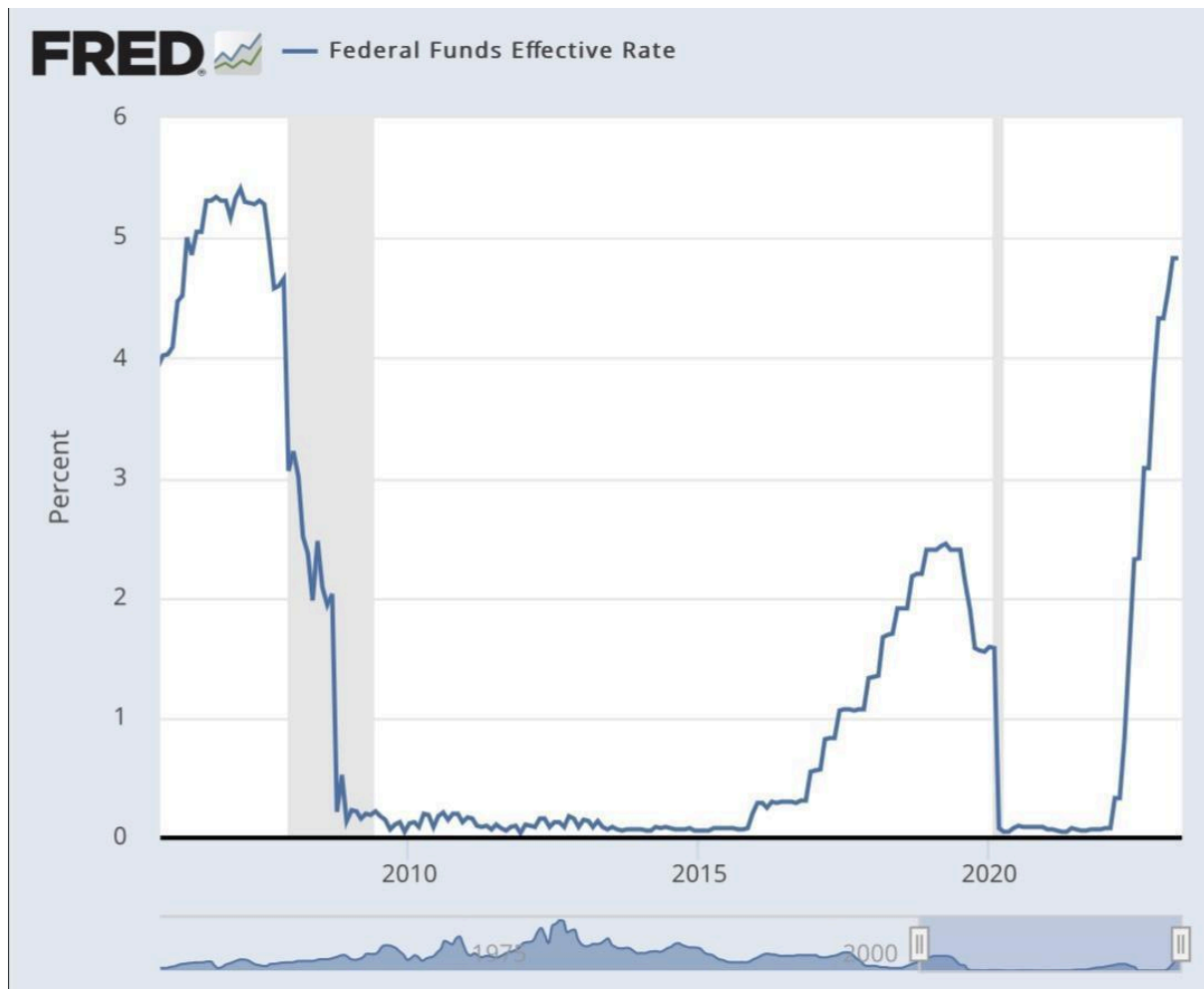


* Low wage is 10th percentile, middle wage is 50th percentile, very high wage is 95th percentile.

Source: EPI analysis of Current Population Survey Outgoing Rotation Group microdata

- The graph shows the changes in hourly wages by percentile

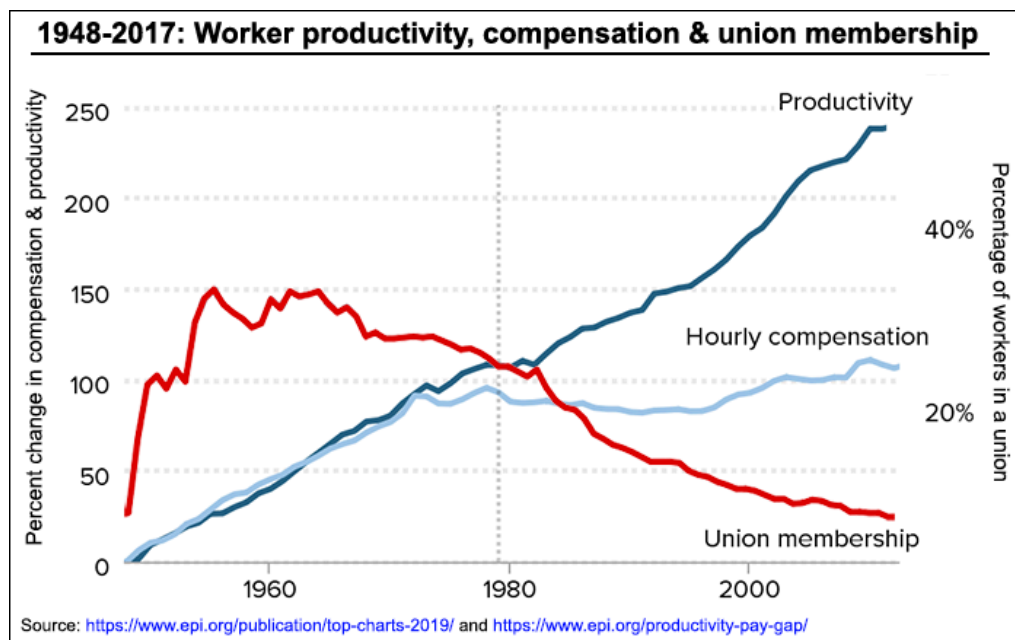
Currently, the United States is experiencing its highest inflation rise since 2008. To ease inflation, the Feds have continued to raise interest rates in order to lower demand and the cost of things. The term 'Greedflation' has become popular in recent months because of how capitalism has found that they can raise the prices of inelastic goods as far as they want without affecting consumer demand. The plan to slow down demand with interest rates is not working, instead, the harm of higher rates falls upon the middle and poor classes and their debt owed. In 2007, the federal reserve increased the federal funds rate as an effort to combat inflation and slow down the rapid pace of the economy. However, this contributed to the housing market downturn and crisis occurred the following year. The Board of Governors of the Federal Reserve System reported a federal funds effective rate peaking at 5.41% in 2007 and the current (2023) rate is at 4.83% (FRED). The similarity to the 2007's high rate is an indication of another potential crash as it becomes more difficult for consumers to pay back their liabilities.



- Chart showing the changes to the Federal Funds Effective Rate in %. Source: Board of Governors of the Federal Reserve System (US). With this chart, we can compare the rates from past recessions to where the economy is at currently.

To prevent the forecasted recession, reducing wealth inequality is a key solution that requires addressing issues across various domains. (1) The Supreme Court needs to pass Biden's student-debt relief plan; tuition is the earliest form of debt that young people are obtaining and today's college students have far more debt than their grandparents did graduating from college. The court cannot afford not to pass the relief plan for college debt as it would drive middle class families out of their financial burdens as well as close the racial wealth gaps. When posed with the question on how student loan debt relief would affect the economy, Randi Weingarten, the president of the American Federation of teachers responded: "45

million Americans currently hold \$1.6 trillion in federal student debt, with an average debt of \$28,950... This burden frequently builds to a crisis as people are forced to delay buying a house, having children and starting businesses. It's perverse: The cost of the ticket into the middle class is stopping people from achieving the economic security that is the hallmark of that same middle class" (2020). (2) An increase in union membership can help decrease wealth inequalities and prevent the next financial devastation; the middle class becomes more powerful as unions grow. In the 1950s, union membership was high and therefore, salaries increased simultaneously with the economy. However, "Union membership density has declined steadily since the early 1980s, when the Reagan administration began a series of policy initiatives aimed at weakening the ability of unions to organize, bargain collectively, and engage in political activity" explains Harvard economist Richard Freeman and James Medoff (1984).

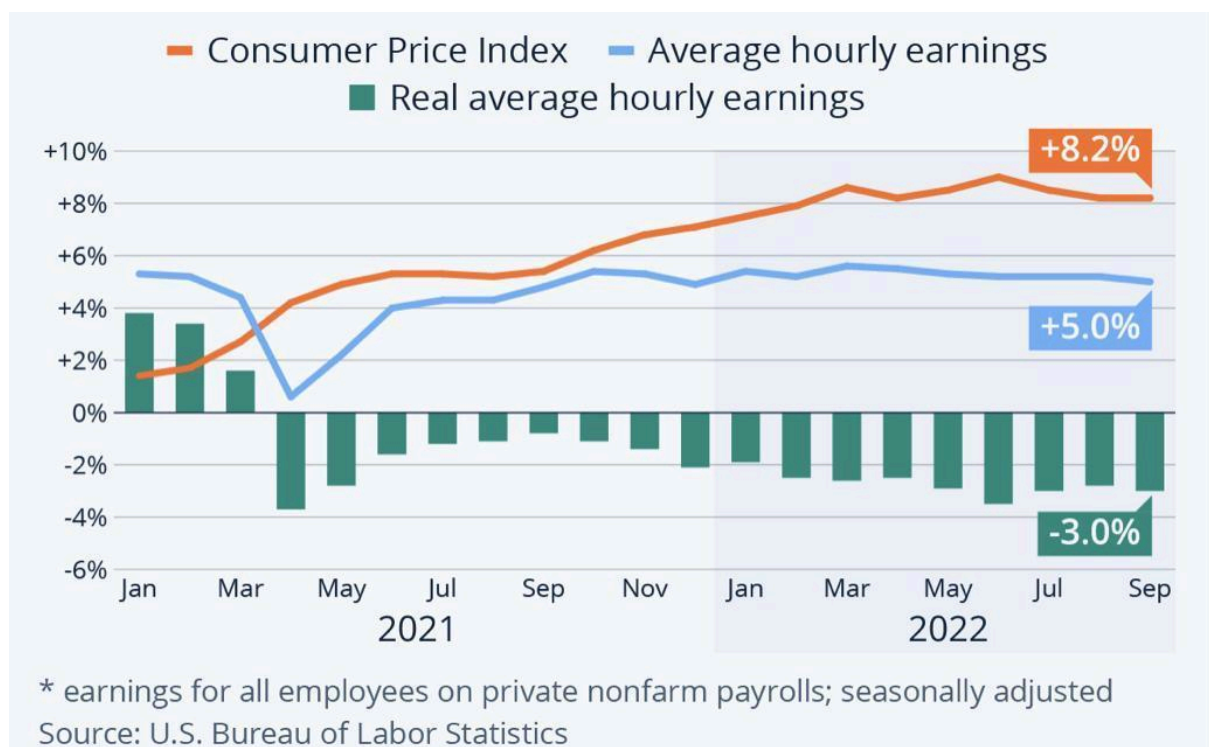


- Graph from 1948-2017 showing the variations in employee productivity, salaries, and the size of union memberships.

Pushing union membership upwards will increase middle class incomes and job benefits.

Unions prove to support higher wages which can lead a good majority of the working class

away from debt. (3) Encourage the Feds to stop raising the interest rates; the effects of this are mainly felt by the middle class and poor workers. The Feds are under the impression that high wages are responsible for inflation and that rising interest rates can help relieve it; however when comparing wages to the consumer price index, the real average hourly earnings are -3.0% in September 2022 (U.S. Bureau of Labor Statistics, 2022).

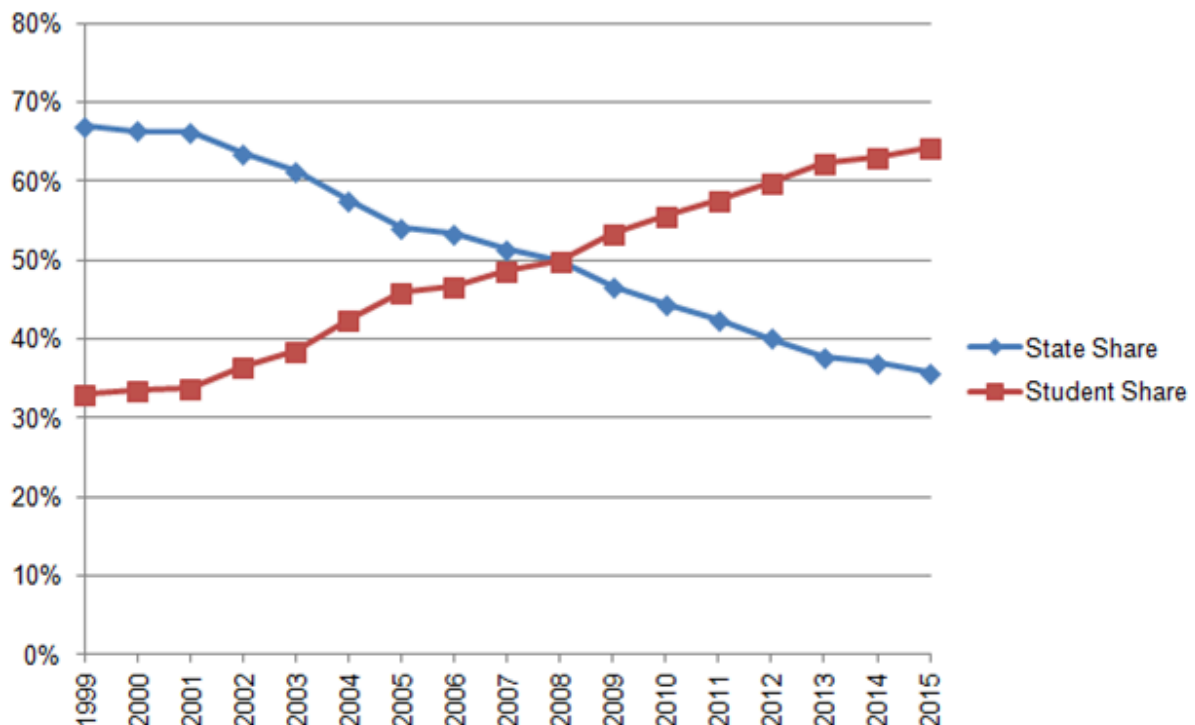


- Graph displaying the difference between the Consumer Price Index (CPI) and the Real Average Hourly Earnings in the U.S.

We cannot continue to blame rising wages for inflation. We need to start blaming the big corporations who are making record-breaking profits. In addition, there must be bolder antitrust enforcement to prevent monopolies from forming and being able to get away with the high prices that drive consumers into debt. (4) The final and most important remedy to avoiding this next debt recession is to tax the upper 10% greater. Thomas L. Hungerford breaks down the tax inequalities reporting “The top marginal income tax rates have declined sharply, leading to a substantial decrease in the tax burden on top earners. In the United

States, for example, the top 1 percent of earners now accounts for more than 20 percent of all income but pays an effective federal tax rate of around 23 percent, which is lower than the effective tax rate paid by middle-income households" (2016). Inequality becomes lower as tax rates on the rich become larger and vice versa. By taxing the upper 10%, States generate greater revenue that allows them to better support things like higher education. With greater State funding, college tuition lowers and more people can become educated without acquiring overwhelming amounts of household debt. A chart presented by Kentucky Council on Postsecondary Education provides data to show the correlation between college tuition and state funding; as State funding decreases, the cost to provide higher education is dropped onto the students.

Cost of Higher Education Shifting from State to Students



- Graph plotting the change in State and Student share in cost of higher education in percentage.

In a recent interview, entrepreneur Mark Cuban stated “If you use credit cards, you don’t want to be rich”. Cuban's remark is an easy one to make when you have a net worth of \$5.1 billion. However, the statement is unfair to the middle and lower class citizens who are working check to check to stay afloat. For the bottom 90% of workers, debt has become a necessary means of survival. The lack of pay in relation to cost of goods leads to my hypothesis that crises are and will continue occurring due to the inequalities that the lower classes are faced with. As history has proven, debt bubbles will eventually break down and trigger a recession. Oftentimes though, the middle class and poor are blamed for their debt but do they really have a choice? When the cost of basic necessities are through the roof and salaries have not changed much from the 1970s then debt will be accumulated. Fortunately, there exist remedies to alleviate the existing inequalities in the country. However, unless we take the necessary actions to address these inequalities, the accumulation of debt will continue unabated and lead to a period of economic downturn.

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